UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education Ordinary Level

ECONOMICS **2281/02**

Paper 2 Structured Questions

October/November 2004

2 hours

Additional Materials: Answer Booklet/Paper

READ THESE INSTRUCTIONS FIRST

If you have been given an Answer Booklet, follow the instructions on the front cover of the Booklet.
Write your Centre number, candidate number and name on all the work you hand in.
Write in dark blue or black pen on both sides of the paper.
You may use a soft pencil for any diagrams, graphs or rough working.
Do not use staples, paper clips, highlighters, glue or correction fluid.

Answer Question 1 (Section A) and any **three** questions from Section B.
At the end of the examination, fasten all your work securely together.
The number of marks is given in brackets [ ] at the end of each question or part question.

This document consists of **4** printed pages.

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Section A

Answer this question.

1 **Decline in world supply of cotton**

The largest producers of cotton are China, the US, India and Pakistan. By 2001 there had been five years of declining international cotton prices, so in that year it was expected that cotton production would fall as farmers were discouraged from growing the crop by the low prices. This reduction in supply was then expected to cause prices to rise in the following year, 2002, when the cotton was put onto the market.

The fall in production was expected to occur in countries that were the most efficient, but there would be a fall in production in other countries also. Although India produces cotton, its average yield per hectare is half of the world average. This is because of low seed quality, insufficient pest control and poor irrigation due to irregular rainfall.

(a) Explain why low prices might discourage farmers from growing cotton. [3]

(b) Using a demand and supply diagram, explain the changes in price that were expected to occur between 2001 and 2002. [5]

(c) **(i)** Identify what measures India might take to increase its production of cotton. [3]

(ii) Explain how **two** of the measures chosen in **c(i)** might have effects on
– the fixed costs,
– the variable costs and
– the revenue of the producers. [6]

(d) How would the earnings from cotton be shown in India's balance of payments? [3]

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Section B

Answer **three** questions.

2 In 2002 in the UK and in Germany trade unions supported strikes in some public sector occupations.

(a) Explain what is meant by the public sector and give **one** example of a public sector occupation. [3]

(b) Describe the functions of trade unions and explain which function you consider to be the most important. [7]

(c) State **three** factors that might determine an individual's choice of occupation. [3]

(d) Discuss why some occupations receive higher wages than other occupations. [7]

3 It was reported in 2002 that people in Germany were expecting tax rises and an increase in unemployment.

(a) Distinguish between a direct tax and an indirect tax. Give an example of each. [4]

(b) Identify **three** types of unemployment and explain how they are caused. [6]

(c) Describe **four** main aims of government macro-economic policy. [4]

(d) Discuss whether a rise in taxes can help to achieve any of these aims. [6]

4 Changes in the population structure of many countries have led governments to introduce a health education programme.

(a) Identify and explain **two** of the issues that a health education programme might cover in developing countries. [4]

(b) How may the age structure of the population in a developing country differ from that in a developed country? [6]

(c) Explain what is meant by **(i)** an opportunity cost

and **(ii)** a social benefit. [4]

(d) Discuss whether it is possible to apply these concepts to the provision of health care. [6]

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[Turn over

5 As Eastern European economies continue to grow, companies are recording an increase in profits. Public and private sector investment are expected to rise as trade barriers are reduced.

(a) What is meant by economic growth? [3]

(b) Discuss whether economic growth is always advantageous. [7]

(c) Explain why a reduction in trade barriers might increase a company's profits. [4]

(d) Explain why investment is important in an economy. [6]

6 It was reported in September 2002 that the Namibian dollar was gaining strength and that the exchange rate against other currencies was fluctuating less.

(a) Explain what the report means when it says that the 'exchange rate against other currencies was fluctuating less.' [5]

(b) Why do exchange rates fluctuate? [4]

(c) Discuss the consequences for an economy if its currency 'was gaining strength.' [5]

(d) A country has a deficit on its balance of payments. Discuss **two** policies, other than exchange rate changes, that a government might use to try to achieve a surplus rather than a deficit. [6]

7 In 2002 a film was made of a popular children's book. It was extensively advertised and was a great success.

(a) You have been asked to arrange the advertising for such a film. Explain what methods might be best. [4]

(b) Explain how a successful film can also increase or decrease the profits of other companies. [8]

(c) The major film companies are large organisations. What might be the advantages of this? [8]

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Question 1. *The Cape Times*

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